EXECUTIVE SUMMARY

ICICI earns 2.23% RoA; the banks behind it trail for three different reasons, so each needs a different lever

111 bp

SBI's RoA gap to ICICI; net interest income alone explains 114 bp. SBI's opex/assets is the lowest in the set

83 bp

Axis's gap: margin 57 bp + credit cost 41 bp (incl. Rs 2,001 cr one-off provision)

34 bp

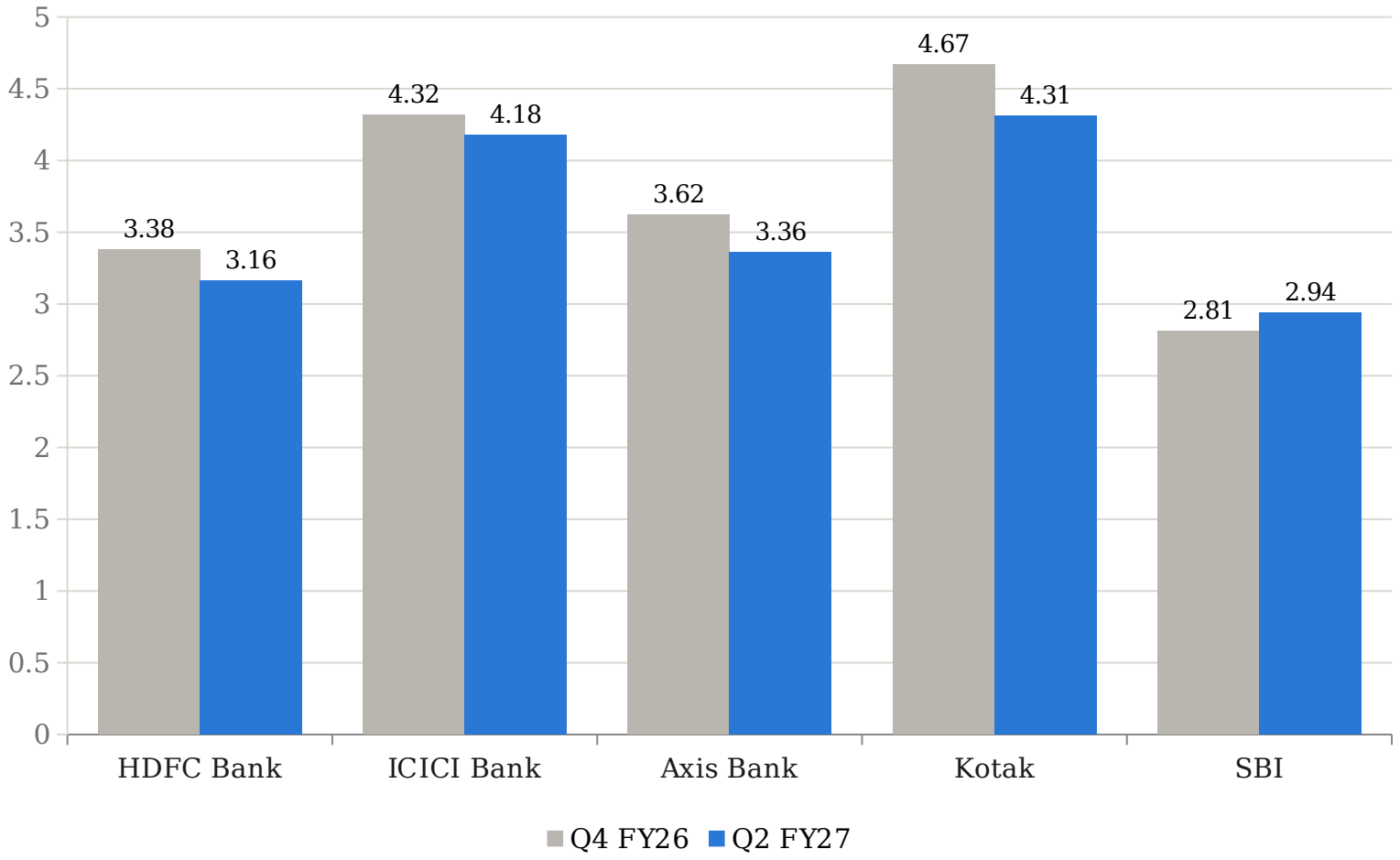
Kotak's gap is cost: best NII margin, but opex absorbs 41 bp

Four of five Q2 FY27 NIMs fell; SBI's rose 13 bp on its stronger CASA base. So the levers that matter for FY27 are deposit franchise (SBI, HDFC), credit discipline (Axis) and cost-to-serve (Kotak).

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh

CONTEXT

Private-bank margins fell 14-36 bp between Q4 FY26 and Q2 FY27, while SBI's rose 13 bp



HDFC Bank: -22 bp
ICICI Bank: -14 bp
Axis Bank: -26 bp
Kotak: -36 bp
SBI: +13 bp

Asset yields reset faster than deposit costs for the private banks. SBI's 38% CASA cushioned it: funding mix, not the cycle alone, drives margin.

Source: Bank investor presentations Q4 FY26 and Q2 FY27; SBI Q2 FY27 press release (3 Nov 2026). HDFC NIM on total assets, SBI whole bank, others on interest-earning assets

PEER SCORECARD

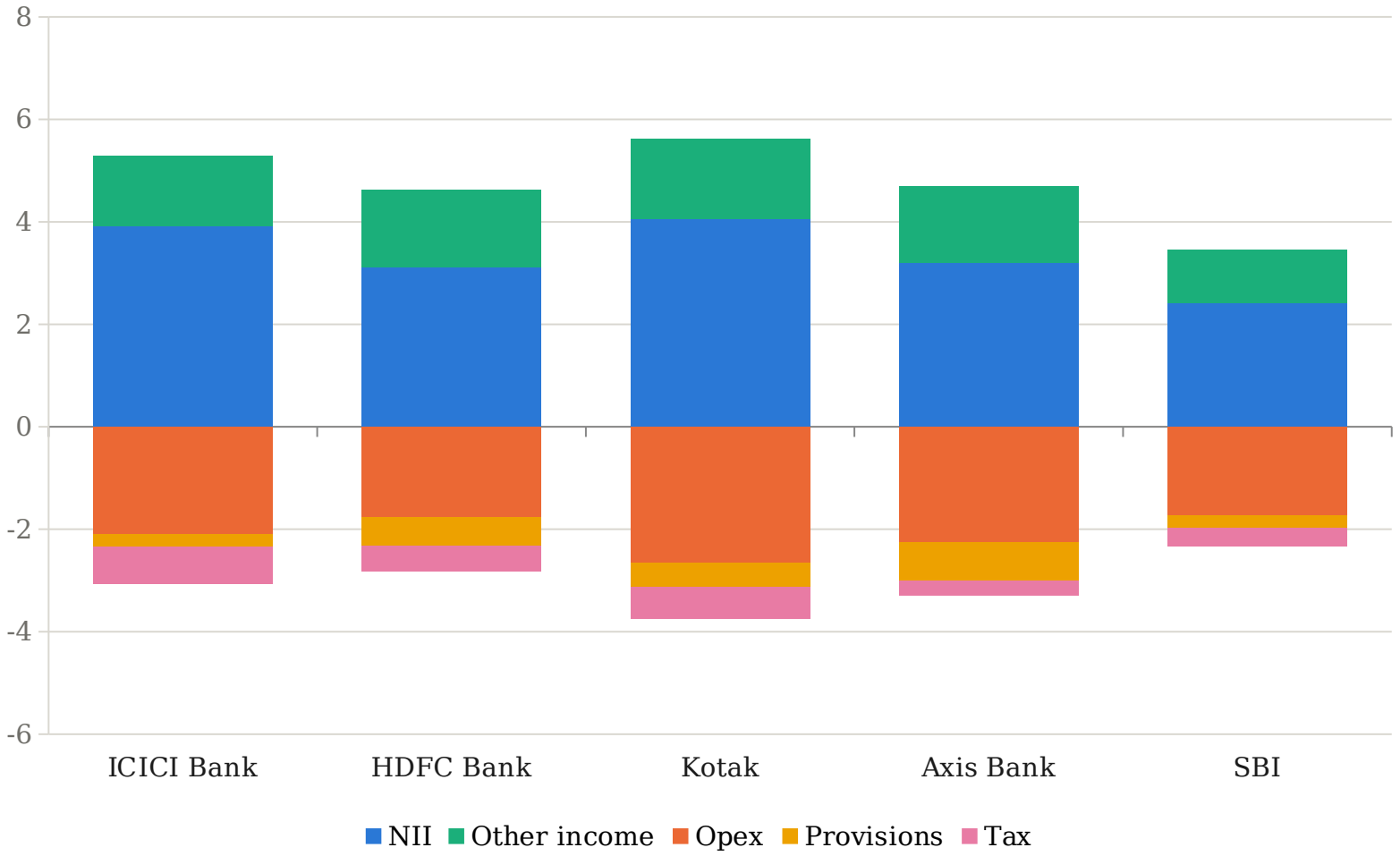
On the FY26 scorecard ICICI leads on RoA and RoE; SBI runs the leanest cost base but the thinnest margin

Bank	NII %	Other inc. %	Opex %	Provisions %	RoA %	RoE %	Cost/income %	GNPA %
ICICI Bank	3.92	1.37	2.10	0.24	**2.23**	15.9	39.7	1.40
HDFC Bank	3.11	1.51	1.76	0.57	**1.80**	14.0	38.0	1.15
Kotak	4.06	1.57	2.65	0.47	**1.90**	11.1	47.0	1.20
Axis Bank	3.21	1.49	2.25	0.76	**1.40**	12.7	47.9	1.23
SBI	2.42	1.03	1.73	0.25	**1.12**	16.2	50.1	1.49

Read across: highest NII margin (Kotak 4.06%) does not buy the highest RoA because opex is also highest (2.65%). SBI's 14.5x leverage lifts its RoE (16.2%) above HDFC's despite the lowest RoA.

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh. Ratios % of average assets; RoE on average net worth

The RoA tree shows margin builds returns and opex and provisions consume them, in different proportions by bank



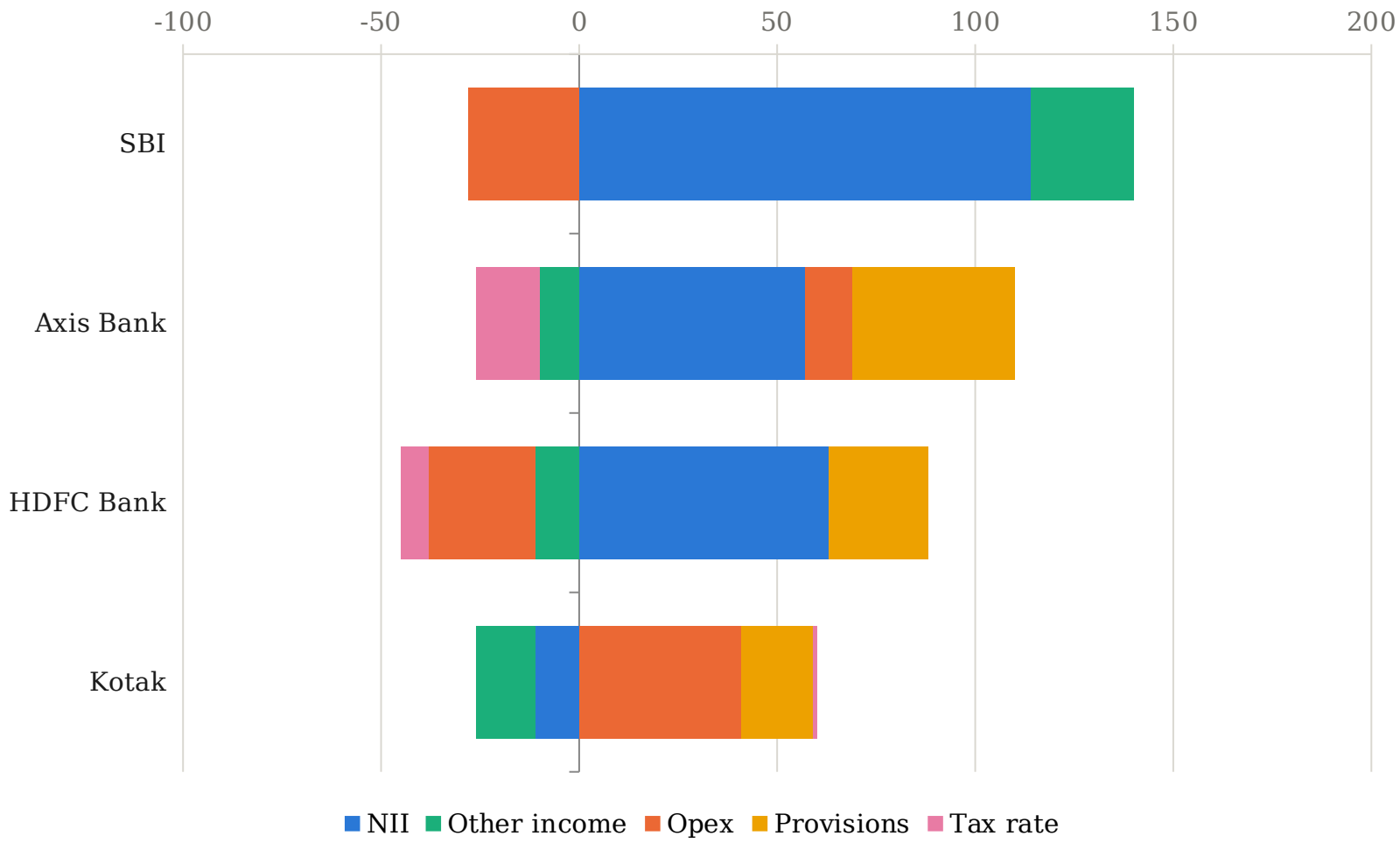
RoA (% of avg assets)
ICICI Bank: 2.23%
HDFC Bank: 1.80%
Kotak: 1.90%
Axis Bank: 1.40%
SBI: 1.12%

Computed RoA ties to reported within 10 bp (SBI exact); differences come from daily-average vs simple-average assets.

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh

GAP ATTRIBUTION

Shapley attribution: SBI's gap is all margin, Axis's is margin plus credit cost, Kotak's is cost



bp of RoA gap to ICICI (positive = widens the gap)

SBI: 111 bp
Axis Bank: 83 bp
HDFC Bank: 43 bp
Kotak: 34 bp

Why Shapley: a sequential bridge assigns the tax-rate interaction to whichever line moves last; Shapley removes that ordering bias.

Source: pipeline/shapley.py: order-independent attribution over RoA = (NII + OI - opex - provisions) x (1 - tax rate); contributions sum exactly to the gap

SAY VS DO

Management margin guidance held for a few quarters at ICICI and Kotak, then broke in Q2 FY27; HDFC missed its stated range

Bank	Call	Management said (paraphrase)	What happened	Verdict
ICICI Bank	FY2025Q2	Margins broadly stable in the near term until the rate-cut cycle starts	4.41 (Q4FY25) -> 4.34 (Q1FY26) -> 4.30 (Q2FY26); within ~10 bp	Delivered
ICICI Bank	FY2026Q2	NIM range bound; some benefit from CRR cuts and term-deposit repricing	4.30 -> 4.32 -> 4.36 -> 4.18; range held 3 quarters then -18 bp in Q2FY27	Partly delivered
Kotak	FY2026Q2	NIM to improve gradually in H2FY26 as deposits reprice, assuming no further repo cuts	4.54 (Q3) -> 4.67 (Q4FY26); then 4.31 in Q2FY27	Delivered (H2FY26); reversed after
HDFC Bank	FY2025Q2	Margins to stay in a tight operating range (3.4-3.5%) in near and medium term	3.38 on total assets (Q4FY26); 3.16 total assets / 3.32 IEA (Q2FY27): below the stated range	Missed
HDFC Bank	FY2027Q2	NIM at the bottom; neutral-to-positive trajectory from here	Open - test at Q3FY27 results (Jan 2027)	Open
SBI	FY2026Q2	Long-term NIM above 3% through the cycle	Domestic 3.03% (meets); whole bank 2.91% (below)	Partly delivered
Axis Bank	FY2024Q1	We don't offer net interest margin guidance	3.97 (Q4FY25) -> 3.62 (Q4FY26) -> 3.36 (Q2FY27)	No guidance given

Source: FactIQ earnings-call claim graph (paraphrases; verbatim quotes linked in data/inputs/concall_say_do.csv); outcomes from bank decks

SO WHAT

Each bank has one lever worth pulling first: every 10 bp of margin is worth 7-8 bp of RoA after tax

Bank	Primary lever	Why (FY26 evidence)	+10 bp NII -> RoA	-25 bp credit cost -> RoA
SBI	Deposit franchise / pricing	NII explains the whole gap; opex already lowest	+7.6 bp	+19.0 bp
Axis Bank	Credit discipline + margin	Provisions 0.76% of assets, highest in set	+8.3 bp	+20.7 bp
Kotak	Cost-to-serve	Opex 2.65% of assets, highest in set	+7.5 bp	+18.8 bp
HDFC Bank	Post-merger margin rebuild	NII 63 bp below ICICI; CASA rebuild	+7.8 bp	+19.6 bp
ICICI Bank	Defend margin as rates turn	Q2 FY27 NIM 4.18%, -14 bp vs Q4	+7.6 bp	+18.9 bp

Next refresh: SBI Q2 FY27 (results 3 Nov 2026) drops into the same pipeline: python pipeline/screener.py SBIN && python pipeline/build_bank_facts.py

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh; sensitivity = shock x (1 - effective tax rate)

Appendix: method, definitions and data traps

- Standalone only; FY26 = Apr-25 to Mar-26; Q2 FY27 annualised x4 on (Mar-26 + Sep-26)/2 assets.
- Opex = Screener (Expenses + Depreciation) - provisions; equals deck opex for all banks where cited.
- SBI's 'Total Provisions' (Rs 42,983 cr) includes tax; ex-tax provisions = operating profit - PBT = Rs 17,538 cr.
- HDFC GNPA is 1.15% (secondary sites swap in NNPA 0.38%).
- One-offs not stripped: SBI Yes Bank stake gain Rs 4,593 cr; Axis one-time provision Rs 2,001 cr; HDFC transaction gains.
- NIM bases differ: HDFC reports on total assets, others on interest-earning assets.
- Workbook: models/01_Bank_RoA_Benchmark.xlsx (live formulas, checks tab).

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh